

Swiss Institute of Banking and Finance



University of St.Gallen

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## **9. Conflicts of Interest and Corporate Governance**

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**3,130/4,130 Corporate Finance**

# Course outline

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1. General Information
2. Risk and Return
3. Portfolio Theory and CAPM
4. Corporate Valuation
5. Cost of Capital
6. Corporate Financing and the Issuance of Securities
7. Capital Structure
8. Risk Management
- 9. Conflicts of Interest and Corporate Governance**
10. Market Efficiency and Behavioral (Corporate) Finance
11. Empirical Research in Corporate Finance

## After this lecture you will have understood...

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- how the **separation of ownership and control** results in agency problems,
- the fundamental idea of the **principal-agent model**, one of the most important models in financial economics,
- what **corporate governance** is and how it may affect firm value,
- the most important **conflicts** of interest **between debt and equity investors**, and
- how bond investors can protect their interests against powerful shareholders.

# Separation of ownership and control

## *Principal-Agent Model*

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- In large companies, it is rarely the case that the shareholders (*principal*) are identical with the management of the firm (*agent*).
- The shareholders are usually a large number of dispersed individuals / institutions: It is impossible to act in concert and exert control on a daily basis.
- Normally, the shareholders limit their role to providing equity to their firm and the managers run the firm on a day-to-day basis.
- The managers run the firm on behalf of the shareholders.
- Hence, the organizational form of large public corporations matches individuals who own capital (principals) with individuals who know best what to do with it (agents).

# Separation of ownership and control

## *Importance of the model*

- The principal-agent model is one of the most important models in financial economics.
- The welfare of an economy is strongly influenced by the efficiency of the economy's capital investment.
- But: The modern public corporation faces a serious problem which Adam Smith identified as follows:

*“Being the managers of other people’s money...it cannot well be expected that they should watch over it with the same anxious vigilance [...]” (Smith, 1776, p. 700).*

# Separation of ownership and control

## *Different interests*

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- The problem with this separation of ownership and control is that the interest of the two groups may not necessarily (always!) coincide.
- The shareholders of a firm simply want the value of their shares to be as high as possible, i.e., they want to be compensated for providing risk capital to the enterprise.
- The managers, while certainly not inherently adverse to a high share price, may have other interests.

# Separation of ownership and control

## *Agents' interests*

### Managerial shirking

- e.g., playing golf instead of working



### Managerial consumption of perquisites

- plush offices
- corporate jets



Whether such expenses / investments hurt (or benefit) shareholders is often difficult to assess!

# Separation of ownership and control

## *Agents' interests (II)*

However, there are somewhat less obvious but much more important (i.e., more costly!) potential conflicts of interest between managers and shareholders:

### Manager's desire to stay in power

Top managers do not like to lose their jobs. If the right management team is not the one that is currently in power, a serious conflict of interest between managers and shareholders may result.

### Managerial risk aversion

Managers usually have all of their human capital tied up in the firm and also the majority of financial wealth (restricted stock and option grants). Managers may be overly risk-averse and unwilling to take on projects that are worthwhile from the shareholders' point of view.

### Free cash flow and empire building

Free cash flow is the cash flow generated by a firm in excess of the amount required to fund all available positive NPV projects (Jensen, 1986). What to do with this FCF presents serious potential conflicts of interest.



# Separation of ownership and control

## *Real world example: Occidental Petroleum*

### Armand Hammer

- May 21, 1898 – December 10, 1990
- CEO and chairman of Occidental Petroleum Corp. between 1957 and 1990
- Known art collector



CEO and chairman

### Occidental Petroleum Corp.

- 1988: New employment contract between Hammer and Occidental Petroleum Corp.

founder

### The Armand Hammer Museum of Art and Cultural Center

- His personal art collection was exhibited in the museum

# Separation of ownership and control

## *Real world example: Occidental Petroleum (II)*

### The employment contract

*“Occidental Petroleum Corp.’s 89-year-old chairman and chief executive officer recently signed an employment contract with the company that promises not only to pay him a yearly minimum of \$1.5 million while he’s alive and serving but that also, **in the event of his death**, obliges Occidental **to pay his personal foundation a lump sum** totaling at least seven years of compensation.*

*[...] But Occidental and Dr. Hammer apparently do not foresee an immediate use of the clause that will benefit the foundation. The chairman’s employment contract runs at least to **Feb. 1, 1998**, at which time Dr. Hammer will be **99**. After that, the contract **automatically extends indefinitely**.” (Los Angeles Times, April 28, 1988)*

# Separation of ownership and control

## *Real world example: Occidental Petroleum (III)*

### **The Armand Hammer Museum of Art and Cultural Center:**

*“Armand Hammer, chairman of Occidental Petroleum Corp., on Tuesday defended the company’s controversial support of a \$95-million museum being built to house his private art collection.*

*[...] to the controversial museum that will bear his name and that is being paid for by Occidental.*

*[...] with documents disclosing that Occidental, not Hammer, paid for significant portions of the collections.”*

*(Los Angeles Times, May 23, 1990)*

# Separation of ownership and control

## *Real world example: Occidental Petroleum (IV)*

### **The Armand Hammer Museum of Art and Cultural Center:**

*“It is a tribute to his gall that Hammer managed to get Oxy to pay out such sums, when he owned less than 1% of Oxy stock, on the questionable ground that the museum would pump up the company’s prestige. Oxy shareholders are suing for waste of corporate assets.”*  
(Time Magazine, January 28, 1991)

*“Though the museum takes care of its own operating costs, it occupies its quarters under a 30-year lease from Occidental, free of rent, property taxes or common area costs. [...] When the lease expires in 2020, the museum is entitled to buy the land on which both the museum and the headquarters are situated for \$55 million and lease it back to Oxy. [...] Even in death, Hammer continues to cost Oxy shareholders bigtime money.”* (Forbes Magazine, May 27, 1991)

# Separation of ownership and control

*Real world example: Occidental Petroleum (V)*





# Separation of ownership and control

## *Real world example: Corporate jets as perks*

Yermack (2006):

- Companies, in which the CEO uses a company jet for private purposes, underperform by approximately 4% p.a. on average (sample of 237 large US firms from 1993 to 2002).
- On the day of the announcement of the private jet use by the CEO, the stock price drops by 1.1% on average.
- The negative announcement effects exceed the costs of the private (and even total) airplane use by far.
- Hence, shareholders seem to perceive the news of the private jet use by the CEO as a signal for a bad corporate governance structure more generally.

# Separation of ownership and control

*Real world example: Occidental Petroleum (VI)*



Armand Hammer on board of „his“ private Boeing 727 (1985)

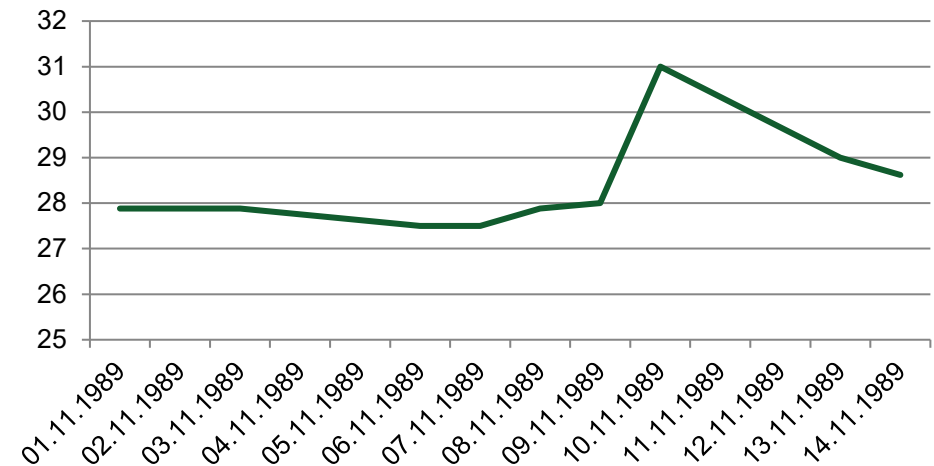
# Separation of ownership and control

## *Real world example: Occidental Petroleum (VII)*

How the market thought about Armand Hammer:

*“...When it became known that Hammer had entered the intensive care unit, the rumor spread that the 91-year-old chairman was critically ill. Based on this rumor, the price of Occidental stock increased from \$28 to \$31 per share, representing a total gain in shareholder value of approximately \$300 million... The following Monday, it was reported that Hammer had gone into the hospital for a routine adjustment to his pacemaker. The price of Occidental stock reacted to this information by falling \$2 per share, giving up most of its earlier gain.”*

**Occidental Petroleum**



(Grinblatt & Titman: “Financial Markets and Corporate Strategy”)





# Separation of ownership and control

## *Real world example: Wirecard (2020)*



“Wirecard used corporate governance reports and disclosure statements in the opposite direction by following a “governance-washing” tactic as part of their fraud strategy; instead of implementing their actual contents.”

“...the Wirecard scandal indicates implementation gaps once again at all corporate governance levels.”

# Separation of ownership and control

## *Solving the problem*

What can shareholders do to mitigate such problems?

### 1. Bond managers contractually to behave in shareholders' best interest

This is only a **partial solution**, at best, as it would require to spell out every possible eventuality and specify what action a manager should take in that situation. Moreover, often it is even ex-post difficult to assess what would have been the value-maximizing decision at the time.

Contracts may provide crude guidelines for manager behavior and help to ensure that managers will not take certain actions which harm the principal or that the principal will be compensated if he does take such actions.

# Separation of ownership and control

## *Solving the problem (II)*

### 2. Monitoring of managers

Monitoring requires **effective monitors** who present credible threats to management. The obvious monitor would be the shareholders. But: most shareholders lack the necessary expertise and the incentive to monitor! A more effective monitor could be for example the board of directors.

### 3. Alignment of incentives between managers and shareholders

By providing **performance dependent**, and in particular **stock-based, compensation**, managers become shareholders and the interests between principal and agents are (better) aligned.

# Corporate governance

## Definitions

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*“[...] corporate governance can be seen as the set of institutions, practices and rules developed to prevent expropriation of outside investors by “insiders”, such as managers, entrepreneurs or dominant shareholders, by job consumption, overstaffing, lack of effort [...]” (Berle and Means, 1932, The modern corporation and private property)*

*“Corporate governance deals with the ways in which suppliers of finance to corporations assure themselves of getting a return on their investment” (Shleifer and Vishny, 1997, JF)*

Denis (2001) describes corporate governance as *“the set of institutional and market mechanisms that induce self-interested managers (controllers) to maximize the value of the residual cash flows of the firm on behalf of its shareholders (the owners)”* (Denis, 2001, RFE)

# Corporate governance

## *Potential valuation benefits for shareholders*

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Two channels:

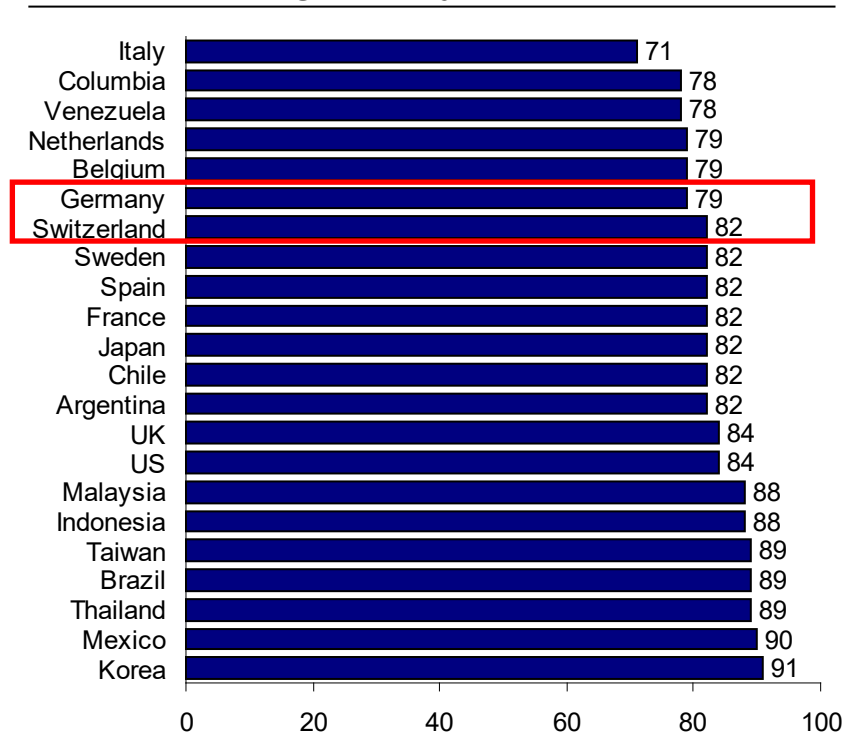
1. Good corporate governance may lead to high stock price multiples as investors anticipate that less cash flows will be diverted and a higher fraction of the firm's profits will come back to them as interest or dividends.
2. Good corporate governance may reduce the expected return on equity to the extent that it reduces shareholders' monitoring and auditing costs, leading to lower costs of capital.

# Corporate governance

## Survey evidence

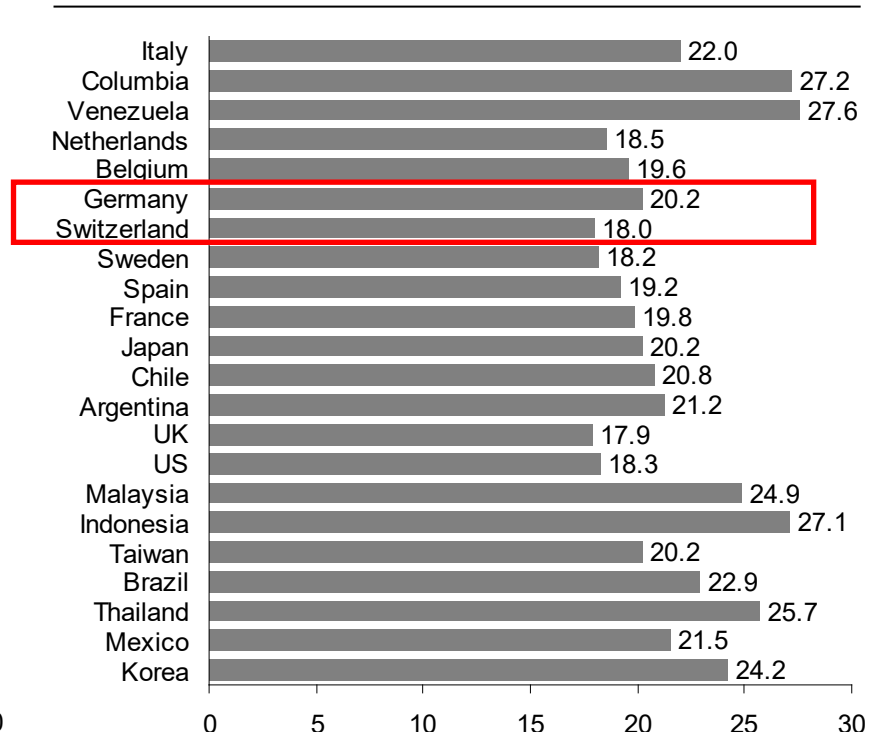
- Is corporate governance recognized by shareholders?

% of surveyed investors that are willing to pay a premium



Source: McKinsey (2000)

Average premium in %





# Corporate governance

## *Mechanisms*

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Various corporate governance mechanisms which may be used as substitutes or complements:

### **Compensation structure**

Stocks, stock options and, in general, greater pay-for-performance may align interests with shareholders.

### **Threat of firing by the board**

An effective and independent board can monitor and discipline the managers.

### **Monitoring by a large stakeholder**

Large stakes can mitigate free-riding. Also manager-owners can reduce conflicts of interest.

# Corporate governance

## *Mechanisms (II)*

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### **Threat of takeover**

A more active market for corporate control disciplines managers.

### **Payout**

By giving back free cash flows to shareholders by paying dividends or doing share repurchases, managerial slack is reduced.

### **High debt levels**

Forces managers to work hard and/or sell unproductive assets to meet interest obligations.

# Corporate governance

## *Mechanisms (III)*

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### **Legal protection**

Legal restrictions on managerial self-dealing. Shareholders can sue if management misbehaves.

### **Transparency**

Only with detailed and reliable data, investors can assess and monitor managers' actions.

### **Product market competition**

Similar to takeover threats, competition exerts pressure on managers to work hard and efficiently.

# Corporate governance

## *Example: Executive compensation*

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An executive compensation program has three objectives:

- 1) Attract the right individuals
- 2) Retain these individuals
- 3) Motivate these individuals to achieve outcomes that are consistent with the objectives of the firm and its shareholders

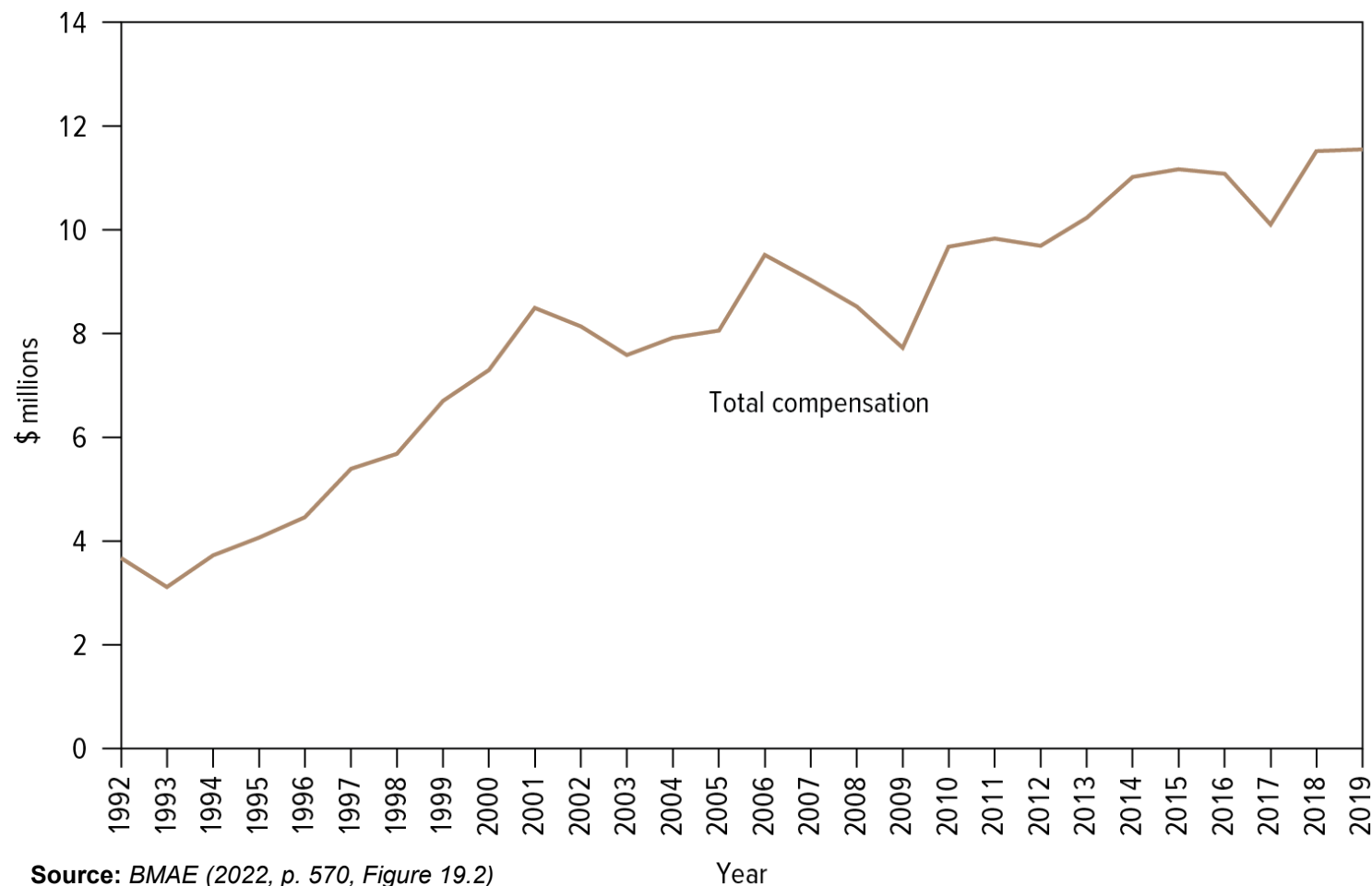
The (public & academic) debate has tended to focus on four areas:

- 1) The overall level of executive compensation and the role of share options
- 2) The suitability of performance measures linking executive remuneration with performance
- 3) The role played by the remuneration committee
- 4) The influence that shareholders are able to exercise on directors' remuneration (e.g., say-on-pay)

# Corporate governance

## *Example: Executive compensation (II)*

Are CEOs overpaid?



# Corporate governance

## *Example: Executive compensation (III)*

- Two opposing views:
  - CEOs are overpaid as for example visible by the growing disparity between total pay granted to CEOs vs. average workers (example: 1:12 initiative in Switzerland).
  - CEOs are paid the going fair-market rate and high compensation simply represents high demands for the position (time, skills, attention, risk) and or limited supply of able individuals.
- What does research say?
  - Gabaix and Landier (2008): CEO pay increased sixfold between 1980 and 2003 and the market value of the companies increased sixfold as well: “the rise in CEO compensation is a simple mirror of the rise in the value of large U.S. companies since the 1980s”.
  - Kaplan and Rauh (2010): Growth rate of CEO pay 1994-2005 is comparable to that of hedge fund & PE managers, venture capitalists, lawyers, and professional athletes.



# Corporate governance

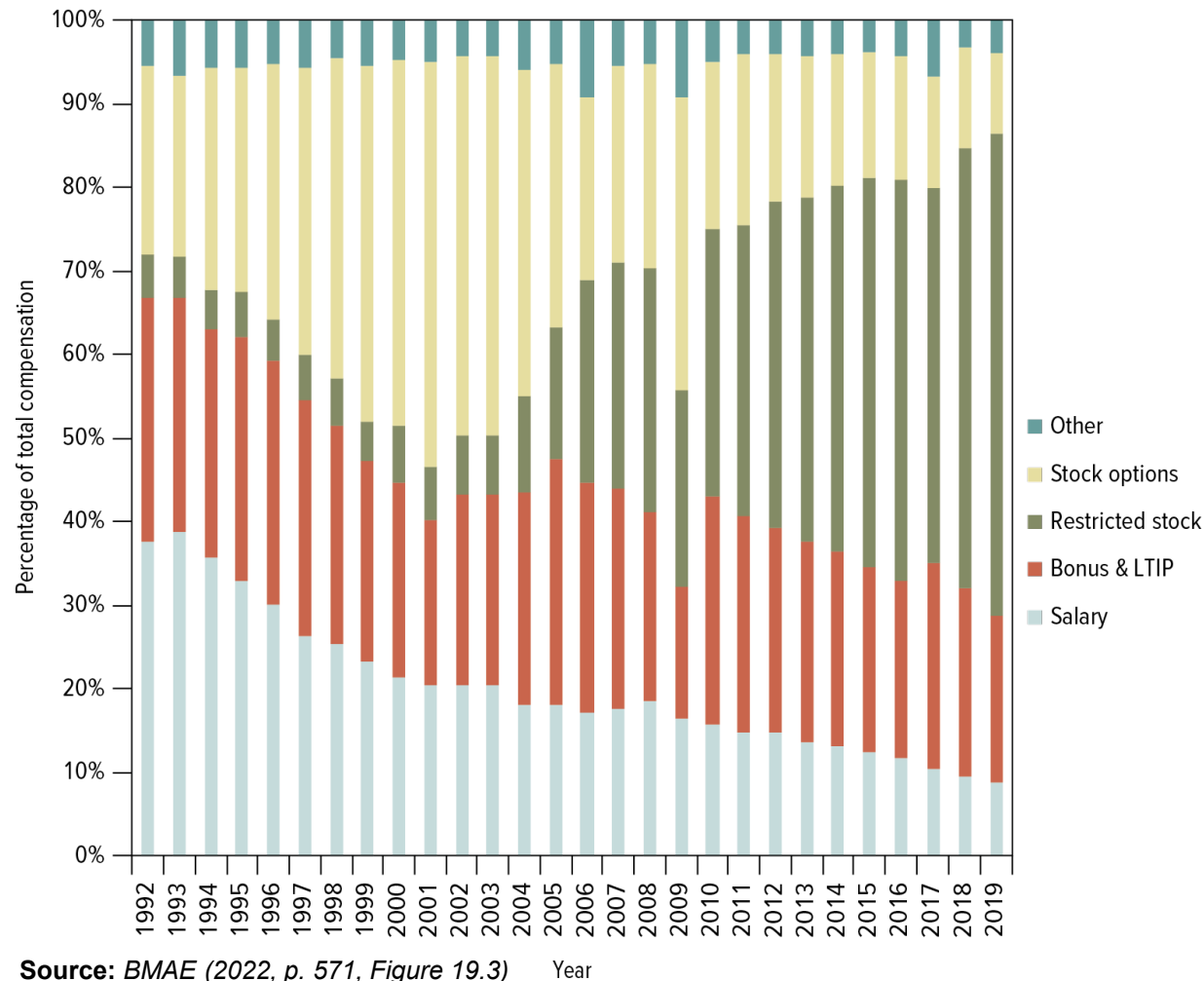
## *Example: Executive compensation (IV)*

- What should determine CEO compensation?:
  1. How much value creation in the company can be attributed to the CEO?
  2. How much of this value creation should be offered as compensation?
- Unfortunately, both questions are difficult to answer:
  - We cannot observe the “counterfactual”.
  - Executives managing a private-equity backed firm on average receive 5.4% of the equity upside they create (stocks & options).
  - A-list actors receive \$10-\$30m per film plus 10-20% of gross profits.
  - A market estimate of the value of a CEO is the abnormal announcement return upon an unexpected death; but then we don’t need to determine her/his compensation value anymore.
  - Firms should filter out anything that is beyond the CEO’s control (e.g., the oil price for oil companies) and use benchmarks (e.g., not ROA, but ROA vs. peer group ROA).

# Corporate governance

## *Example: Executive compensation (V)*

### CEO pay packages: pay-for-performance

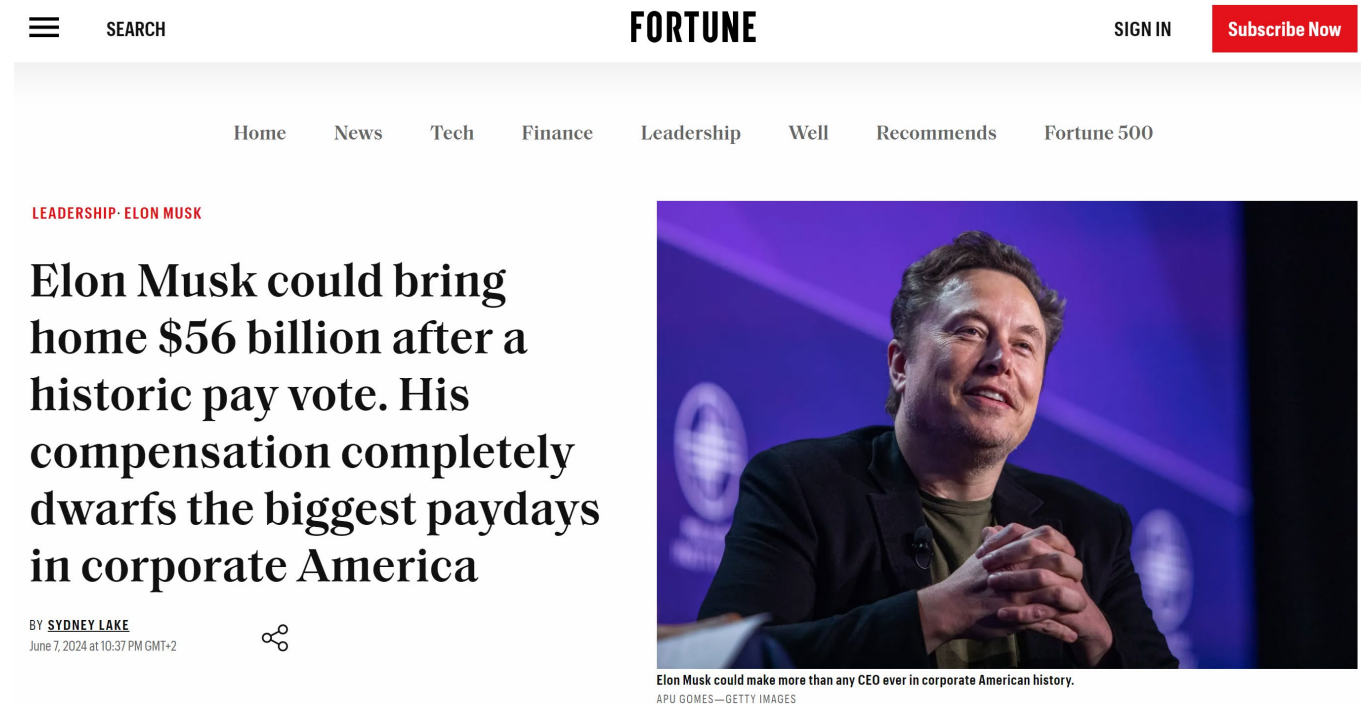


Source: BMAE (2022, p. 571, Figure 19.3) Year

# Corporate governance

## *Example: Executive compensation (VI)*

- Some misperceptions:



- This figure is an outcome figure based on the share price today and does not reflect the value of the award or cost to the company at time of grant (2018) since when the share price has increased by over 10x.
- The figure does not take into account the low probability of meeting the performance target, which from the perspective of the grant date was under 5%.
- Third, the award replaced ten years of compensation for Musk and thus needs to be allocated as compensation over a decade.

# Debt and incentives

## *Investment distortions*

What are the implications for investment / financing policy if shareholders are in power?

### **Risk Shifting / over-investment**

The value of equity increases in risk because of the option-like payoff: downside risk is limited but you benefit from upside risk. Therefore, equity holders may want to take negative *NPV* projects if they are sufficiently risky.

### **Debt overhang problem or under-investment**

If the value of the firm is low, equity holders will have no incentive to contribute cash to take on a positive *NPV* project because all the gains will go to the debt holders.

### **Bait and switch**

Equity holders have an incentive to issue additional debt and “dilute” the value of existing debt holders.

# Debt and incentives

## *Risk shifting – Example*

Firm will undertake either project 1 or project 2.

Initial investment (either project) \$140.

Investors are risk neutral and the risk-free interest rate is  $r_f = 0$ .

Financing will be negotiated before the investment decision is made.



|           | Investment | Payoff bad state<br>( $p=0.5$ ) | Payoff good state<br>( $p=0.5$ ) | Expected value |
|-----------|------------|---------------------------------|----------------------------------|----------------|
| Project 1 | 140        | 100                             | 200                              | 150            |
| Project 2 | 140        | 40                              | 240                              | 140            |

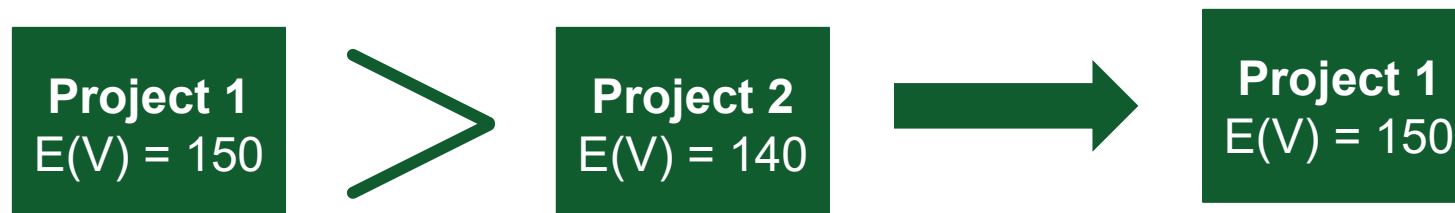
# Debt and incentives

## *Risk shifting – Example (II)*

### Equity finance

Assuming that the project is all equity financed,

- which project do equity holders choose?



- What is the increase in equity value due to this project as of date 0?

| Project 1 |      |   |     |      |
|-----------|------|---|-----|------|
| NPV =     | -140 | + | 150 | = 10 |

# Debt and incentives

## *Risk shifting – Example (III)*

### Levered firm

Now, suppose that the firm issues debt with face value of \$80.

- Which project do equity holders choose? Payoffs to shareholders:

|           | Investment |        | Payoff bad state |        | Payoff good state |        | Expected value |        |
|-----------|------------|--------|------------------|--------|-------------------|--------|----------------|--------|
|           | Debt       | Equity | Debt             | Equity | Debt              | Equity | Debt           | Equity |
| Project 1 | 80         | 60     | 80               | 20     | 80                | 120    | 80             | 70     |
| Project 2 | 80         | 60     | 40               | 0      | 80                | 160    | 60             | 80     |

Expected loss of 20



# Debt and incentives

## *Risk shifting – Example (IV)*

- Now assume that debtholders are sophisticated and thus aware of this conflict of interest: How much debt are they willing to contribute?
  - ⇒ They contribute less than 60, because then equity holders choose project 1.
  - ⇒ Example: What happens when they contribute 50?

|           | Initial amount |        | Payoff bad state |        | Payoff good state |        | Expected value |        |
|-----------|----------------|--------|------------------|--------|-------------------|--------|----------------|--------|
|           | Debt           | Equity | Debt             | Equity | Debt              | Equity | Debt           | Equity |
| Project 1 | 50             | 90     | 50               | 50     | 50                | 150    | 50             | 100    |
| Project 2 | 50             | 90     | 40               | 0      | 50                | 190    | 45             | 95     |

### Conclusions:

- ⇒ Shareholders might prefer projects with lower *NPV* but that have more volatile payoffs.
- ⇒ If debtholders are informed / sophisticated, they anticipate that and take precautions.

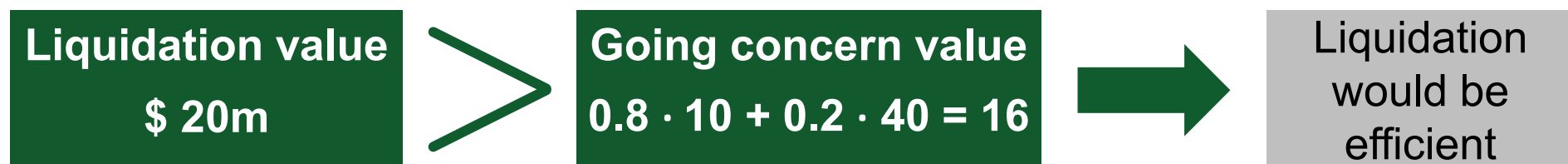
# Debt and incentives

## *Reluctance to liquidate*

Decision rule of liquidation from the perspective of debt holders:



Example: Megabell Inc. can be liquidated for \$20m. The firm's liabilities sum up to \$30m. If continued, the value will decrease to \$10m with a probability of 80% and it will increase up to \$40m with 20% probability.



However, shareholders' going concern value is  $0.8 \cdot 0 + 0.2 \cdot (40 - 30) = \$2m$   
Shareholders would not agree to liquidate the firm and *gamble for resurrection*.

## Debt and incentives

### *Risk shifting – real world example*

May '92: Terex Corporation, a producer of tractor trailers and earth-moving machines, had experienced several quarters of depressed and sometimes negative operating income (EBIT). Its stock had fallen 60 percent in the previous two years. Many investors saw the company as having a significant risk of default, although such default was not “imminent.” Randolph Lenz, the company’s chairman, chief executive, and owner of 53 percent of the shares, decided that Terex would undertake a leveraged acquisition despite these problems. Upon the announcement that it would acquire the forklift division of Clark Equipment for \$95 million, Terex’s stock rose from 11.625 to 12. Although investors may have seen the increased risk as positive for the company’s stock, the acquisition target was extremely speculative, causing the value of Terex’s existing bonds to fall substantially. (Grinblatt and Titman, p. 542)

# Debt and incentives

## *Debt overhang problem – Example*

### Firm

- Firm with assets in place that generate \$180 next year.
- Senior debt with face value of \$300
- Firm cannot issue debt with higher priority.



### Invest. project

Initial investment  
= \$20

Cash flow in one year  
= \$60

Can it finance the project with new equity or subordinated debt?  
How much can **new** investors receive next year?

Consider **equity** financing:

Cash flow next year =  $\$180 + \$60 = \$240 < \text{face value of } \$300$

**Conclusion:** Firms with existing senior debt obligations may not be able to finance positive *NPV* investments because the payoff from the investments goes completely to the existing bondholders due to the seniority!

# Debt and incentives

## *Free rider problem*

Suppose there is only **one** debt holder. Would this debt holder finance the project?

Payoffs of the two possibilities:

Payoff with no investment:  $\$180 \rightarrow \text{loss of } \$180 - \$300 = \text{\textcolor{red}{-\$120}}$

Payoff with investment:  $\$180 + \$60 \rightarrow \text{loss of } \$180 + \$60 - \$300 - \$20 = \text{\textcolor{red}{-\$80}}$

**Conclusion:** If there is only **one** debt holder, it is rational for this debt holder to finance the project with new debt.

# Debt and incentives

## *Free rider problem (II)*

Suppose there are **four** lenders, but only **one** considers to participate, and the new debt is subordinated. Would she do it?

- Each lender holds a bond with a face value of \$75 which will get paid back first.
- From the next year's cash flow of \$180, each lender will receive \$45.
- One lender additionally invests \$20 as subordinated debt.

Payoff with no investment:

$$\$45 - \$75 = \text{-\$30 (loss)}$$

Payoff with investment:

$$\text{Participant: } \$45 + \$15 - \$75 - \$20 = \text{-\$35}$$

$$\text{Non-participant: } \$45 + \$15 - \$75 = \text{-\$15}$$

**Conclusion:** A single debtholder will not invest.

# Debt and incentives

## *Bait and switch – Example (I)*

### Firm

Payoffs  $\begin{cases} 150 & \text{prob} = 0.5 \\ 50 & \text{prob} = 0.5 \end{cases}$

Face value of debt = 50

### Assumptions

Risk neutrality

Zero interest rate

What are the values of debt and equity?

Value of **debt**:

$$D = 0.5 \cdot 50 + 0.5 \cdot 50 = \mathbf{50}$$

Value of **equity**:

$$E = 0.5 \cdot (150 - 50) + 0.5 \cdot (50 - 50) = \mathbf{50}$$

**Conclusion:** The bond is safe because creditors will receive full repayment in either state.

# Debt and incentives

## *Bait and switch – Example (II)*

Suppose the firm issues another bond with a **face value** of \$50 and the same priority as the initial bond and uses the proceeds to pay a special dividend to equity holders. Who gains? Who loses?

Value of **debt**:

$$D = 0.5 \cdot 100 + 0.5 \cdot 50 = 75$$

**75 < face value of 100**

**=> Bondholders lose!**

Value of **equity**:

$$E = 0.5 \cdot (50 + 50) + 0.5 \cdot 50 = \mathbf{75}$$

Equity holders always receive the special dividend of 50!

**Conclusion:** If another bond with a face value of \$50 and the same priority is issued, there will be a wealth transfer of \$25 from the bond holders to the equity holders.



# Debt and incentives

## *Bait and switch – Example of LBO by RJR Nabisco*

### Triple its debt

Original bondholders of RJR Nabisco lost 15% overnight when RJR tripled its debt in 1988.

### Idea of LBO

In October 1988, the management of RJR Nabisco announced its intention to acquire the company in a leveraged buyout (LBO) transaction. Such LBOs are usually almost entirely debt financed and therefore the new (private) company would start with a very high debt ratio.

### Market reaction

Upon the LBO announcement, the market value of RJR Nabisco's debt decreased from about \$2.4 to \$2.1 billion.

### External investor

At the end, RJR Nabisco was acquired by another bidder, Kohlberg, Kravis, Roberts (KKR).

# Debt and incentives

## *Credit covenants to protect debt holders*

Examples of restrictions imposed in bond indenture:

### **Restrictions on subsequent financing**

Issuance of new debt prohibited unless certain ratios are met, like tangible assets to long term debt, earnings coverage ratio, or leverage ratio.

### **Restriction on dividends**

Allow payments of dividends only if sufficient payable funds exist where payable funds are a function of earnings, assets, leverage, and past dividends paid.

### **Restriction on merger activity**

Bondholder has the right to sell the bond back to company at some given price if some specific event (such as a takeover) occurs.

Having too many covenants may also be costly since it can severely restrict the flexibility of firms.

# Key takeaways

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1. The principal-agent model is one of the most important models in financial economics describing the relationship between managers and shareholders.
2. The separation of ownership and control results in conflicts of interest between shareholders and managers.
3. Corporate governance mechanisms can mitigate such conflicts.
4. Another conflict of interest is between debt and equity:
  - Risk shifting / over investment
  - Debt overhang / under investment
  - Bait and Switch
5. Bond covenants are one means to mitigate this conflict.

# Literature

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## Mandatory readings

- Brealey, R., Myers, S., Allen, F., and A. Edmans, 2022, Principles of Corporate Finance, 14th Edition, New York: McGraw-Hill, Chapter 19 (Agency Problems and Corporate Governance).

## Additional readings

- Larcker, D., and B. Tayan, 2011, Corporate Governance Matters – A Closer Look at Organizational Choices and Their Consequences, FT Press / Pearson Education.
- Shleifer, A., and R.W. Vishny, 1997. A survey of corporate governance, Journal of Finance 52, 737-783.